

When we first launched this book in 2013, there existed only a 'manual' way to calculate your target nest egg. Now, we have come of age and we have an automated mechanism to calculate the end point of your journey or your final corpus need. However, the automated approach is based on running excel macros, to which all freedom seekers may not have access or privilage. That is why, you would see both the options available in the Step 3 sheet available on our Freedom Portal i.e. Automated Calculation, and Manual Calculation. You need to use either of them to arrive at your end point or target corpus.

Before we start doing the nest egg calculation, we must understand the structure of Step 3 worksheet. This will help us save time in our planning activity.

There are three major steps within Step 3, which appear as three separate worksheets in the Step 3 file. Here are those 3 steps:

1. Nest Egg Calculator

This worksheet calculates the Nest Egg needed to get financially free. This is your target corpus that you need to strive for, to set yourself free from the rut of making any more money.

2. Duration Calculator

This worksheet calculates the time you would need to get financially free or to accumulate your nest egg. This is the time you need to move from the Start Point to the End Point, and is dependent on multiple factors, one of which is your saving potential.

3. Special Life Events

Step 1 and Step 2 gave us the Start Point and the speed of journey but remember that these are all based on our 'current' income, expenses, assets, liabilities and their extrapolation with time and inflation. However, there are also bound to be some other 'predictable special events' in our life which will incur high ticket expenses, and are not currently covered in your Step 1